Conclusion

WHITHER THE BRICS?

This past month may be remembered as the moment the United States lost its role as the underwriter of the global economic system.… I can think of no event since Bretton Woods comparable to the combination of China's effort to establish a major new institution and the failure of the U.S. to persuade dozens of its traditional allies, starting with Britain, to stay out of it. This failure of strategy and tactics was a long time coming, and it should lead to a comprehensive review of the U.S. approach to global economics. With China's economic size rivalling America's and emerging markets accounting for at least half of world output, the global economic architecture needs substantial adjustment.

LAWRENCE SUMMERS, APRIL 5, 2015

BRICS AND WORLD ORDER: TOO MUCH PESSIMISM IS UNWARRANTED

After a decade of collaboration, the story of the BRICS (Brazil, Russia, India, China, and South Africa) shows the remarkable perseverance of a group of middle and regional powers, augmented by an emerging superpower, to pursue their autonomy and increase their influence in global governance institutions. Where are the BRICS and their financial statecraft heading now? It is possible to propose three scenarios, and this book's analysis suggests that a pessimistic outlook is not necessarily warranted.

First, contrary to much speculation, the BRICS are neither revolutionary revisionists seeking to topple the existing order, nor pure accommodationists or integrationists, willing to accept the United States and the West as the permanent stewards of the international order. Rather, they have primarily sought to reform the current global governance system to ensure their autonomy, maximal policy discretion within existing rules, and greater influence as rule-makers. Where these aims have been blocked or not fully realized, the BRICS have demonstrated their willingness to invest in outside options in the form of experimenting with parallel institutions that could grow, if needed, into an alternative foundation of governance arrangements. Therefore, Lawrence Summers' suggestion, in the quotation at the start of this chapter, that the emergence of the Asian Infrastructure Investment Bank (AIIB) marks the end of an era for the United States, may inflate the actual influence of China and other emerging economies, while succumbing to excessive pessimism about the future of U.S. primacy. However, it is "a salutary wake-up call" that the "global economic architecture needs